The example is a hypothetical calculation that shows the estimated expenses that an investor will pay for investing in a fund over different time periods. The goal of the example is to provide a means for investors to compare expense levels of funds with different fee structures over varying investment periods.[555] The example appears in dollar amounts, based on a hypothetical investment of $10,000, and assumes a 5% annual return over the course of 1, 3, 5, and 10 years.[556]

Funds must also include brief disclosure regarding portfolio turnover immediately following the fee table example.[557] Portfolio turnover measures how often a fund buys and sells its investments. A higher portfolio turnover rate may indicate higher transaction costs and may result in higher taxes when fund shares are held in a taxable account. The portfolio turnover rate will vary depending on the fund's investment strategy. This disclosure is designed to help investors understand the effect of portfolio turnover, and the resulting transaction costs, on fund expenses and performance.[558]

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555 *See* Consolidated Disclosure of Mutual Fund Expenses, Investment Company Act Release No. 16244 (Feb. 1, 1988) [53 FR 3192 (Feb. 4, 1988)].

556 The example does not reflect purchase charges on reinvested dividends and other distributions (as applicable).

If a fund imposes a fee or other charge when an investor sells (redeems) his or her shares, the fund must disclose two expense examples. The first example shows the estimated expenses of investing in the fund if the investor continues to hold his or her shares throughout the 1-, 3-, 5- and 10- year periods. The second example shows an investor's estimated investment expense if he or she sells (redeems) shares at the end of the 1-, 3-, 5- or 10- year periods.

557 Item 3 of Form N-1A.

558 Summary Prospectus Adopting Release, *supra* footnote 10, at Section III.A.3.d.

b. Proposed Fee Summary

We propose to require a simplified fee summary that would streamline the presentation of fees and focus on the total costs or "bottom line" of an investment in the fund.[559] The fee summary would be included in the summary section of the statutory prospectus (or, for funds that rely on rule 498, the summary prospectus), which funds provide investors at their initial purchase. The full fee table would be included in the statutory prospectus for those who want the additional level of detail. This is a layered disclosure approach designed to provide investors with concise, key information relating to the fund in the summary fee disclosure, with access to more detailed information elsewhere.[560] The information in the fee summary would incorporate a subset of the information that appears in the fee table, and the fees that appear in the fee summary would be the same as any corresponding fees in the fee table.

We are proposing that the fee summary begin with a narrative statement that the fee summary shows amounts the investor could pay to buy, hold, and sell shares of the fund and that these costs reduce the value of the investment. The narrative statement also would state that the investor may pay other fees, such as brokerage commissions and other fees to financial intermediaries. This would occur, for example, in the case of ETFs or "clean

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559 Proposed Item 3 of Form N-1A; *see also* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at 41-42 (commenters suggest an abbreviated fee presentation and the Commission stated, "this idea deserves further consideration, and we will consider it for possible future rulemaking").

560 The statutory prospectus, which would include the full fee table, would be available online if the fund relies on rule 498 and delivers a stand-alone summary prospectus. In cases where the fund does not rely on 498, the investor would receive the statutory prospectus on paper and could flip from the fee summary to the full fee table.

shares."[561] The narrative must state that these charges are not reflected in the fee summary and example. We are not proposing to require that the fee summary and example include these fees, because we understand that financial intermediaries that distribute the fund typically determine such fees, and that the amount may vary across financial intermediaries and distribution channels.

The body of the fee summary would consist of two sections: (1) a summary fee table showing the fund's transaction fees, maximum account fee (if applicable), and ongoing annual fees, and (2) a simplified version of the example. The proposed requirements for the fee summary are shown in the following chart, with current fee table line items shown on the left and corresponding items in the fee summary on the right. We discuss the proposed changes in more detail below.

Table 5: Comparison of Current Fee Table and Proposed Fee Summary

Current Form N-1A Fee Table	Proposed Form N-1A Fee Summary
Shareholder Fees (fees paid directly from your investment)	***Transaction Fees*** (fees paid each time you buy or sell)
Maximum Sales Charge (Load) Imposed on Purchases (as a percentage of offering price) _____%	Purchase Charge (as a percentage of your investment) [Up to] _____% (Or [up to] $___, if you invest $10,000)
Maximum Deferred Sales Charge (Load) (as a percentage of _____) _____%	Exit Charge (as a percentage of_____) [Up to] _____% (Or [up to] $___, if you invest $10,000)

[561] Clean shares are share classes offered without sales loads or any asset-based distribution or sales fees. Investors purchasing and selling clean shares may be required to pay a commission to a broker.

Maximum Sales Charge (Load) Imposed on Reinvested Dividends [and other Distributions] (as a percentage of _____) _____%	Maximum Purchase Charge Imposed on Reinvested Dividends [and Other Distributions] (as a percentage of _____)__ [Up to] _____% (Or [up to] $___ , if you invest $10,000)
Maximum Sales Charge (as a percentage of _____) _____%	Maximum Combined Purchase and Exit Charge (as a percentage of _____) _____%
Redemption Fee (as a percentage of amount redeemed, if applicable) _____%	Early Exit Fee (as a percentage of amount redeemed) [Up to] _____% (Or [up to] ____, if you invest $10,000)
Exchange Fee _____%	Exchange Fee [Up to] _____ % (Or [up to] ____, if you invest $10,000)
Maximum Account Fee _____%	[This item moved to its own heading, see immediately below.]
	Maximum Account Fee [Up to] _____% (Or [up to] ____, if you invest $10,000)
Annual Fund Operating Expenses (expenses that you pay each year as a percentage of the value of your investment)	***Ongoing Annual Fees*** (estimated expenses you pay each year as a percentage of the value of your investment)
Management Fees _____%	Ongoing Annual Fees _____ % (Or $___, if you invest $10,000)
Distribution [and/or Service] (12b-1) Fees _____%	Ongoing Annual Fees with Temporary Discount _____% (Or $___, if you invest $10,000) *Discount expected to end on [date].
Other Expenses _____% _____ _____% _____ _____% _____ _____%	[Funds that invest 10% or less of their total assets in acquired funds may omit AFFE from the Ongoing Annual Expenses and instead disclose this amount in a footnote.]
Acquired Fund Fees and Expenses _____%	
Total Annual Fund Operating Expenses _____%	

Example This Example is intended to help you compare the cost of investing in the Fund with the cost of investing in other mutual funds. The Example assumes that you invest $10,000 in the Fund for the time periods indicated and then redeem all of your shares at the end of those periods. The Example also assumes that your investment has a 5% return each year and that the Fund's operating expenses remain the same.	***Example*** This example may help you understand the costs of investing in the Fund. The example assumes that: (1) you invest $10,000 in the Fund; (2) your investment has a 5% return each year; and (3) the Fund's operating expenses are based on the table above.
1 year 3 years 5 years 10 years Although your actual costs may be higher or lower, based on these assumptions your costs would be: $___ $___ $___ $___	1 year 10 years Although your actual costs may be higher or lower, based on these assumptions, your costs would be: $___ $___
1 year 3 years 5 years 10 years You would pay the following expenses if you did not redeem your shares: $___ $___ $___ $___	1 year 10 years If you sold your shares at the end of the relevant period, your costs would be: $___ $___

We seek comment on the proposed new fee summary, and specifically on the following issues:

213. Is the proposed new fee summary appropriate? If so, is it also appropriate for the current full fee table to appear in the fund's prospectus outside the summary section of the prospectus (or, for funds that rely on rule 498, outside of the fund's summary prospectus)? Is this "layered" format appropriate for fee disclosure?

c. Proposed Summary Fee Table